Echo & Pima scenario review

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1 Executive summary

2 Scope – which scenarios against which metrics

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Executive summary

We compare eight Echo/Pima paths on **Fund-001 Operating Net** across FY26–FY30; **capital** is shown separately; we also show **students displaced in FY26** and **students served in FY30**.

Repurpose "wins" when fixed costs decline at a realistic pace **and** retention is acceptable; growth can be **budget-neutral or better** if new students are attracted and fit within capacity, but there is clear risk; a **hybrid** (repurpose one, re-tool the other) can balance risk and reward.

Two finalist paths—with gates: (1) **Repurpose both as lease**, and (2) **Hybrid: repurpose one; re-tool/grow the other**. Operational repurpose lags as it does not benefit from fixed-cost ramp down as quickly. All paths need published gates

The model is **most sensitive** to: (1) **how much site fixed cost** we remove (and how fast); (2) how many students we still serve (**retention + growth**); (3) the true incremental cost to serve those students; (4) the timing/size of district lease avoidance; and (5) whether revenue keeps pace with rising cost-per-student over time.

Growth at the stay-open school of a hybrid scenario is not automatic, but a **multi-tiered growth strategy–underpinned by an Innovation & Arts Hub–can mitigate execution risk**; **Echo**, as a recently upgraded school with capacity, and with an inherently innovative culture, is **positioned to stage** this innovation lane for the district.

Scaling to phase 2 and beyond can include a similar **gated template** and a **public dashboard** across the district **for all scenarios** to consider; clear triggers can be published that move a school from a growth lane to repurpose if targets are not met–an outcome that would be difficult, but earned.

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8 scenarios are evaluated*

Scenarios

A1—Repurpose Both (Operationally)

Close Echo & Pima as schools; convert both to district **operational uses** (e.g., early learning/admin).

Ops savings depend on how fast **site-fixed costs** come out, student **retention**, and one-time transition overhead.

A2—Repurpose Both (Lease)

Close both; pursue third-party **lease**.

Savings depend on fixed-cost removal and timing of **outside lease exits**.

B1—Status Quo (Decline)

Keep both open; no new program or growth actions; follow **projected enrollment decline**.

C1—Grow Both

Keep both open; pursue **multi-tiered growth** (warm-hand-offs, cross-district marketing, program lift such as innovation or arts).

Positive operating effect arrives as cohorts build and capacity is filled.

D1—Repurpose Echo (Ops); Grow Pima

Close Echo and **repurpose for district use**; keep **Pima** open with **growth plan**.

Result driven by fixed-cost removal at Echo and net new students at Pima.

D2—Repurpose Echo (Lease); Grow Pima

Close Echo; pursue **lease**; grow Pima as innovation or **growth hub**.

Savings hinge on Echo fixed-carry ramp and **lease-exit timing**; growth adds positive contribution.

E1—Repurpose Pima (Ops); Grow Echo

Close Pima and **repurpose for district use**; keep Echo open with **growth plan** as innovation or arts hub.

Driven by Pima **fixed-removal** and net new students at Echo.

E2—Repurpose Pima (Lease); Grow Echo

Close Pima; **lease/sell**; **grow Echo** as innovation or arts hub.

Savings hinge on Pima **fixed-carry ramp** and **lease-exit timing**; growth adds positive contribution.

**Overall and scenario-specific assumptions / parameters can be found in the appendix*

Understanding the financial impacts is important…

Metrics

What can the scenario 'return'?

Operating Net =
Revenue per served student (base aid + override + uplift) × served students
– Variable operating cost (per student)
– Fixed site costs remaining after any repurpose
– Temporary transition cost (routing/admin for displaced students, if any).

Key drivers: fixed cost removed; student retention; marginal cost to add students where capacity.

Lease Avoidance (memo) =
Outside leases ended × annual rent avoided, net of any termination/TI costs and the date the lease truly ends.

Key drivers: which leases move, notice periods, fit-out/termination fees.

Pre-K / Community Programs Net =
Net-new tuition/fees minus staffing & facility costs, only new students or new programs (not shifts).

Key drivers: net-new enrollment, fee schedule, staffing model, utilities/custodial share.

What investment is required?

FY26 Capital (one-time) =
TI/portables/fit-out needed to implement the scenario (not included in Operating Net).

Key drivers: scope realism, "active-use repurpose" vs lease.

...but we also consider the people & risk factors

Metrics

Implications for learners?

FY26 Displaced Students (move year)

Key drivers: which site closes, receiving capacity by band, routing plan.

FY30 Served Students (steady state)
=
Open students + retained students after repurpose (if any).

Key drivers: retention, growth targets, capacity gates.

What are risks & potential upsides along the way*?

Implementation complexity & delivery risk:
E.g. number/size of moving parts—closures, conversions, lease actions, routing changes, and program build

Community disruption & reputational risk:
E.g. visible disruption, likelihood of controversy, and communications load

Strategic value & district resilience:
E.g. assuming scenario ‘success’, ability to attract / retain families, strengthen SUSD’s brand/program mix, and reduce long-run fragility

*See appendix for description of Low, Med, High framework for each ‘risk & upside’ metric

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Scenario A2 (Repurpose both as lease) delivers the strongest 5-year net, with E2 (Repurpose Pima lease while growing Echo) next*

	A2 Repurpose Both Lease	E2 Repurpose Pima Lease; Grow Echo	A1 Repurpose Both Ops	D2 Repurpose Echo Lease; Grow Pima	E1 Repurpose Pima Ops; Grow Echo	D1 Repurpose Echo Ops; Grow Pima	C1 Grow Both	B1 Continued Decline
Operating performance (Fund 001)								
5-yr Operating Net (no capital)	**$3,128,000**	**$1,819,000**	$1,227,000	$1,048,000	$808,000	$159,000	($260,000)	($2,720,000)
Net Op $ / Served (FY2030)	**$2,069**	**$1,060**	$1,381	$744	$765	$471	$90	($1,237)
Reference (assumed outside 001)								
Memo-5-yr Operating Net + (Lease Avoid + Pre-K / Community Prgms Net)	**$3,128,000**	**$1,819,000**	$1,871,000	$1,048,000	$808,000	$803,000	($260,000)	($2,720,000)
Capital								
FY26 Capital Investment (One-time)	**($1,916,000)**	**($3,300,000)**	($2,316,000)	($3,300,000)	($3,500,000)	($3,500,000)	($5,000,000)	$0

What drives differences: the two biggest drivers are **how much fixed cost** comes out… and **how many students** stay or join

*Net is Fund-001 operating only (no capital). Lease-avoidance and Pre-K are shown as memos pending accounting confirmation; Echo ops repurpose assumes district offices, pre-K focus, and 'shared use' rent income; latter assumed to be de minimis, but can be added to model

The hybrids look better than the 'repurpose both' scenarios on people and risk

	A2 Repurpose Both Lease	E2 Repurpose Pima Lease; Grow Echo	A1 Repurpose Both Ops	D2 Repurpose Echo Lease; Grow Pima	E1 Repurpose Pima Ops; Grow Echo	D1 Repurpose Echo Ops; Grow Pima	C1 Grow Both	B1 Continued Decline
People								
FY26 Displaced (students)	553	**296**	553	**257**	**296**	**257**	0	0
FY30 Served (students)	459	**573**	459	**539**	**573**	**539**	653	510
Risk & Strategy								
Implementation complexity & delivery risk	Low-Medium	**Medium**	Medium	**Medium**	**Medium**	**Medium**	High	Low
Community disruption & reputational risk	High	**Medium**	Medium-High	**Medium**	**Medium**	**Medium**	Low-Medium	Medium
Strategic value & district resilience	Medium	**High**	Medium-High	**High**	**High**	**High**	High	Low

To 'put it all together', we weight the metrics, creating one score to compare scenarios…

We weight **operating dollars over five years** the highest because of the current budget gap, but we also weight **deliverability**, **people impacts**, and **strategic value** so we don't win on a model that cannot be delivered (or can only be delivered with intangible impacts that are not acceptable).

Weights for scenario evaluation metrics

Operating performance (Fund 001)	
5-yr Operating Net (no capital)	35
Reference (outside 001 unless confirmed otherwise)	
Memo-5-yr Operating Net + (Lease Avoidance + Pre-K / Community Programs Net)	5
Capital	
FY26 Capital Investment (One-time)	10
People	
FY26 Displaced (students)	5
FY30 Served (students)	5
Risk & Strategy	
Implementation complexity & delivery risk	25
Community disruption & reputational risk	5
Strategic value & district resilience	10
Total possible	**100**

We then **assign the weights** to each scenario using a linear distribution across the min and max values for each metric. As the collection of scenarios is likely not MECE (mutually exclusive, collectively exhaustive), and since we have some discrete (low;low-med;med-high;high) metrics, this approach is flawed, but is still directionally useful.

Applying the weights shows the hybrids and repurpose lease as leading candidates…*

	A2 Repurpose Both Lease	E2 Repurpose Pima Lease; Grow Echo	D2 Repurpose Echo Lease; Grow Pima	A1 Repurpose Both Ops	D1 Repurpose Echo Ops; Grow Pima	E1 Repurpose Pima Ops; Grow Echo	B1 Continued Decline	C1 Grow Both
Total weighted score	**65**	**61**	**56**	**55**	**55**	**54**	**44**	**38**
(Reference) Op net $ ranking	**1**	**2**	**4**	**3**	**6**	**5**	**8**	**7**

*Full weighted scoring by scenario in appendix

…but the model is very sensitive to certain assumptions (*details in appendix*)

A2	E2	D2	A1	D1	E1	B1	C1
Repurpose Both Lease	Repurpose Pima Lease; Grow Echo	Repurpose Echo Lease; Grow Pima	Repurpose Both Ops	Repurpose Echo Ops; Grow Pima	Repurpose Pima Ops; Grow Echo	Continued Decline	Grow Both

Fixed cost drawdown

- Assuming lease vs ops repurpose for both sites changes 5-yr net by **~$1.9M** (A1 vs A2)

Fixed drawdown ratios (FY26-FY30):
Active ops→0.45; 0.4; 0.35; 0.3; 0.25
Lease→0.25; 0.2; 0.15; 0.1; 0.1

Enrollment

- 100 additional students in E2 over 3 years = **+$2.1M** in 5-yr op net
- E1 **breaks even** on 5-yr net op $ with **~15 new students** (aggregate over 3 yrs), and it **surpasses A1** with **~70 new** students

Retention

- Every additional **10 Echo students** we keep after repurpose is worth roughly **$100K** over five years*
- Each **5-point swing** in retention changes the 5-year operating net by roughly **$125K**, so the gap between Echo's and Pima's retention rates matters

*(Revenue per student) - ((variable cost per student) + (routing/admin per student))

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Repurpose outcome is largely a function of fixed cost savings magnitude and rate

Repurpose

Overview

- **Year 1:** Outcome hinges on **how much fixed cost really comes out** and **how many students we keep**; there is an assumed **temporary routing/admin cost** for displaced students
- **By FY30:** Savings show more clearly as **fixed costs taper** and **transition costs fade**, **if retention holds**

Bottom line

- Operational repurpose under-performs if fixed savings are slow or retention is weak; **lease** beats operational / **active-use** for operating savings because more plant cost goes away

The growth-only scenario depends on credible plans to add students despite challenging demographic realities

[redacted]

	Growth (no repurpose)
Overview	■ **Year-1:** No displacement cost. Results depend on **how many additional students enroll this year**; each added student helps **if** we have capacity and the **incremental cost per new student** is below per-student revenue ■ **By FY30:** Added students compound the operating improvement
Bottom line	■ Growth can be **budget-neutral or better** with a realistic plan to add students over time (w/ capacity/quality gates). Demographic realities arguably make doing this at two sites high risk (low probability), and capital investment required to make it happen further **deteriorates the risk/reward profile**

Hybrid scenarios offer a compelling risk-reward profile

Hybrid (repurpose one; grow one)

Overview

- **Year-1 & FY30:** Closing one site while strengthening the other **balances operating results with fewer displacements** (and increased hedging / future-proofing) than closing both
- **Which hybrid:** If retention at Pima, a neighborhood school, is higher than Echo, a school of choice where ~50% of families live outside the district, and lease offsets at Echo don't improve Fund-001 operating net, then repurpose Pima + grow Echo can beat the reverse (less revenue loss from exits + more pull at Echo)

Bottom line

- **Hybrid can deliver the best risk-reward** when fixed savings at one site and growth at the other are both credible**, and data favors keeping Echo open due to higher flight risk of its out-of-district families**

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Is growth actually feasible? An Innovation & Arts Hub is one credible path

Premise

- Hybrid scenarios only work if we can **grow and retain** students

Strategy

- Use Echo as a **K-8 Innovation & Arts Hub** that pulls families in, not just ‘keeps the lights on’

Why a magnet isn’t enough…

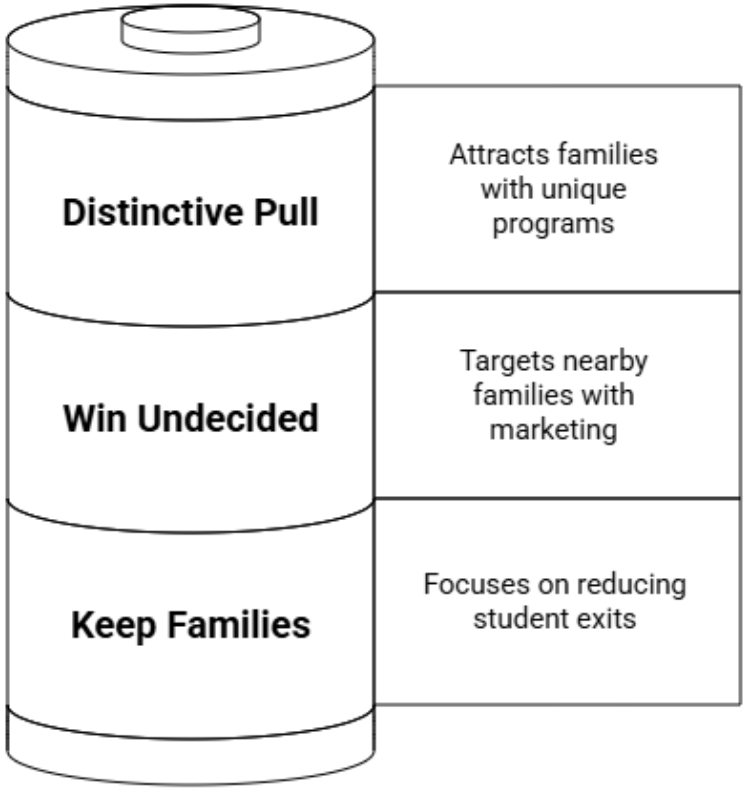
SUSD already has strong magnets (Cheyenne Traditional, Mohave Math & Science Academy, Desert Mountain IB). To stand out in an AI- and ESA-driven choice landscape, **Echo has to be different** – an Innovation & Arts Hub blending *creativity, wellness, and design* rather than more STEM or “back-to-basics” choice

Next

- The following slides outline **how** and **why** that model could deliver the required growth

Growth playbook for an Echo Innovation & Arts Hub

3 growth tiers

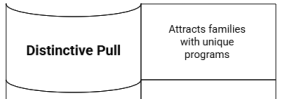


- **Signature strands & electives**
  – Design thinking + maker/STEM + arts integration, with visible industry and university partners (ASU, local creative firms).
  – Electives that articulate into middle/high-school programs to retain K-8 families
- **Cross-district marketing** – timed to Kyrene/Tempe/charter decision windows; digital geo-targeting by neighborhood
- **Program proofs** – public studio nights; student showcases – to convert interest into enrollment
- **Warm hand-offs from full schools**
  – Band-matched, program-fit referrals into Echo with a concierge process, principal-to-principal scripts, and transition supports
- **On-ramp supports for incoming students**
  – Tutoring, counselor outreach, and “welcome weeks” so transfers stick

Gates & reporting

A**nnual ADM targets** by grade band, **retention thresholds**, and **receiving capacity** checks; show progress on a public dashboard.

Spotlight on ‘distinctive pull’—global (and local) trends point to innovation as existential



Choice is accelerating

- Arizona **leads the nation** with ~22% of public students enrolled in **Charters**, normalizing the behavior of 'shopping' for schools
- AI tutors and digital curricula (e.g., Khanmigo, ASU Prep Digital) are **unbundling 'instruction'** from the physical classroom

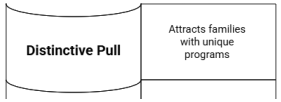
The cost to pursue that choice is falling…

- Universal **ESAs** (~$7k/student) **remove the financial friction** of leaving. Parents no longer pay 'twice' (taxes + tuition) to opt out
- The **rise of homeschool** and microschools **reduces logistical friction**—families can choose local & flexible instead of fighting for private school spots

...and even the labor force has new exit options

- **Teachers leaving districts** for charters or to start their own pods/tutoring businesses using platforms like Outschool or getting paid directly via ESAs

We can see evidence of these trends playing out*...



- **The definition of 'skills' is shifting:** *'Everyone is now a programmer. This is the miracle of AI.'* — Jensen Huang, NVIDIA.
- **AI tutors and digital curricula are arriving:**
  a. **OpenAI launches ChatGPT Edu**, signaling that enterprise-grade data controls and governance—the prerequisites for K-12 adoption—are near mainstream
  b. **ASU Prep Digital:** ASU positions their online school as a **premium product**—university pathways, adaptive AI learning, and "global" access
- **State-level push is happening:**
  a. **Arizona is piloting AI tutoring at scale**, suggesting state policy is moving toward personalized, tech-driven instruction
  b. **Khanmigo pilots in New Jersey districts** (e.g., Newark) aim to give students and teachers a safe tutoring/co-planning copilot
- **The 'New Normal' in Homeschooling**: While the pandemic peak has receded, U.S. homeschooling rates have settled at ~6% (up from ~3% pre-pandemic), representing a structural doubling of this demographic

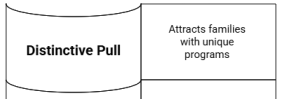
Competitive Response

Major districts (e.g., LA Unified, Gwinnett County) are launching their own **AI pilots and virtual academies** to defensively recapture enrollment.

SUSD has introduced "**Scottsdale Online**", presumably as a way to align with the shifting trends.

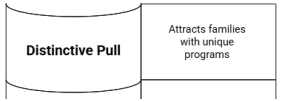
*Sources in appendix

...and it suggests two possible paths forward



	Strategic pathways	One big plus	One big minus
1	**The new service model:** Shift further from "utility" (...because you live here) to "service" (...because we offer value); right-size where required	**Public school leadership:** Districts like SUSD, with balanced incentives, play key roles in guiding the AI / tech narrative, shaping the future curriculum, and delivering a high quality product for all	**Execution risk**: The transition to the new equilibrium, given the accelerating financial, technology, and societal forces, means rewiring district culture and reallocating resources, which will cause short-term organizational friction & still likely requires tough right-size decisions
2	**Manage decline:** Accept the current trend and allow the role and influence of public schools to continue decreasing in the broader education environment in Arizona; consolidate actively	**'Efficient markets'** create the most innovative and effective educational environment for our K-12 kids, with public school as an option with a much smaller footprint	**Inequity & decreased relevance**: The tendency for capital to chase profit means the accessibility and quality gaps widen, creating a negative community spiral that leaves the under-resourced behind, and the district serves only those who cannot navigate or afford the new marketplace

An Echo Innovation & Arts Hub can be the engine for SUSD's 1 "new service model"



What it is

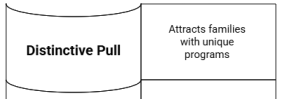
- District-run **Innovation & Arts Hub** on a Blue-Zones K-8 campus
- Fuses **design thinking, maker/STEM, and arts integration** with wellness and sustainability
- Serves students **and** teachers — lab classrooms and studios double as PD spaces

What it does for SUSD

- **Pilots AI-enhanced teaching/learning safely** in a controlled "sandbox"
- **Showcases compelling programs** (design labs, studio arts, digital media) that families can see and feel
- **Grows enrollment pull** – a distinctive K-8 option that complements Cheyenne and Mohave MSA rather than competing head-on
- **Scales success across 29 campuses** by exporting practices, curriculum, and teacher professional development

Arts hub linkage: The same spaces (studios, black-box/performance, gallery lobby) can support the **district Arts Hub** concept, opening the door for the philanthropic & corporate funding that proposal suggests

…and Echo could be the natural ‘lab school’ candidate*



Innovation pedigree	• Echo’s “Blue Zone,” garden/chef programming, and multi-service footprint (SPED, Pre-K, gifted) create a **natural** lab school **foundation**
K-8 continuity	• A K-8 hub lets you build an identity around design + arts + wellness and keep families through key **transition years**
Capacity & facility	• Available **capacity** and recent **facility upgrades** mean we can start with Phase 1 “surface” and furniture/tech upgrades rather than a rebuild
Community mix	• Diverse, heavily open-enrolled student body → multiple perspectives for design/arts-driven work and a **strong “pull” story** for out-of-district families
District brand & exportability	• A visible Innovation & Arts Hub at Echo can **attract** families, **retain** current ones, and **export** practices across SUSD through professional development and visiting labs

*Comparable idea: Campbell School of Innovation in Campbell USD (CA); details on later slide

The quick pitch–Echo Innovation & Arts pilot: a “zero-regret” asset-preservation strategy

The challenge:

- Echo Canyon (<300 students) is on the repurposing list. Closure sacrifices a unique Blue-Zones, garden-rich campus; full rebuilds (~$30M) are unrealistic at current enrollment

The solution: phased development instead of binary close/rebuild

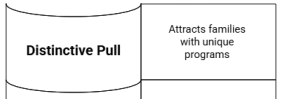
- **Phase 1 (≈$2.5M)** focuses on mobile furniture, technology, and light interior upgrades to create flexible **innovation + arts studios**
- **Phase 2** (deeper facility upgrades, potential Arts Hub build-out) is **unlocked only if** enrollment/retention **targets are met**

Why this is "zero-regret" for SUSD:

- *Furniture & tech guarantee*: Phase 1 assets are 100% redeployable to other SUSD schools if the pilot fails.
- *Board off-ramp*: If targets (e.g., ≥X students by Year 2) are not hit, the district can still repurpose/lease the site, having tested its maximum upside first

Phase 2 could be partially funded via **arts-aligned philanthropy and corporate partners**, given the hub’s dual identity as an Innovation & Arts center…

Campbell School of Innovation: precedent for Echo's Innovation & Arts Hub



- **Benchmark:** Campbell School of Innovation (CSI) in Campbell USD (CA) converted a struggling campus into a district-run innovation school with design-thinking curriculum, studio spaces, and visible community partnerships

https://csi.campbellusd.org/

- **Approach:** The transformation was phased and included significant furniture, tech, and interior upgrades – not just a branding exercise

- **What happened:** CSI has grown enrollment and now exports practices to other schools via "innovation grants" and professional development

- **Scaling to Echo Canyon's case:** CSI's transformation effort is 'scaled' to Arizona costs, Echo Canyon square footage, etc. A redeployment strategy is introduced, and the concept is tailored to take advantage of Echo's inherent strengths (and to differentiate from other magnets in SUSD)

Investment roadmap: gated funding based on performance

Phase 1 (Launch) vs. Phase 2 (Scale)

Phase 1: The "Launch" (Years 1-3)	Phase 2: The "Scale" (Years 3+)
CapEx: $2.5 Million	**CapEx: $8.0 Million* only if phase 1 gates are met**
Funding mix: district capital + external arts/philanthropy/corporate contributions referenced in Arts Hub proposal	
Focus: Curriculum, Brand, & Interiors	**Focus:** Infrastructure & Specialized Labs
Scope: • **"Re-surface" the building:** High-impact paint, modern furniture, glass partitions, removal of clutter • **Showcase Labs:** Retrofit 2 classrooms into "Innovation Hubs" • **Training:** Orient teachers and students on new space, enhanced curriculum & capabilities	**Scope:** • **Structural Modernization:** Courtyard updates ("Blue Zones" learning), HVAC, and wall removals • **Capacity Expansion:** If enrollment crosses an agreed-upon threshold • **Permanent Labs:** Dedicated performance space, gallery lobby, expanded maker/arts studios; Teacher-focused training and innovation labs
Success triggers (gates): – Enrollment meets agreed targets – Retention stays above agreed thresholds – Program-quality milestones are met – Go/no-go Board vote	**Result:** A fully realized, revenue-positive Innovation and Arts Hub that draws families from outside district boundaries, draws and retains the best teachers, and exports learnings to other schools in the district

***Phase 2 CapEx is not currently shown in model & summary results**

Echo underused classroom today → Echo Innovation & Arts Hub studio (phase 1 concept)*

Illustrative

Current state: underused classroom (given excess capacity)	**Phase 1 pilot:** premium flexible innovation & arts hub (movable assets)

*AI-generated; list of image elements in appendix

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In governing phase 2 and beyond, moving to repurpose if targets are not met would be difficult, but earned

0 Develop **public dashboard** to convey and track all key process elements

1 Assess and clarify **current situation** (problems and associated root causes) facing district

- Vibrant SUSD deck

2 Given problem understanding, **prioritize** school or sub-district **focus areas**

- See Appendix for example framework

3 Collaboratively identify MECE* set of **solution options**

- Invitation to public for comment and ideas
- District development of solution options

4 Conduct rigorous **evaluation** of options using financial + student + risk metrics

- District and / or external, independent consultant to perform analysis using district's framework

5 Present option results & recommendation to public and board for **discussion**

- Invitation to public for comment and ideas
- District development of solution options

6 Identify and **publish gates** (e.g. adm) and triggers to move school e.g. from stay-open to repurpose

- Public comment and board alignment
- Go/No-Go metrics defined (e.g., Year 1 Enrollment Target

*Mutually exclusive; collectively exhaustive

Appendix

- Detailed results
- Prioritization framework
- Questions to consider
- Model parameters, assumptions, and precedents
- Sources, definitions, and other notes

(Ref) Summary results

	A2 Repurpose Both Lease	E2 Repurpose Pima Lease; Grow Echo	A1 Repurpose Both Ops	D2 Repurpose Echo Lease; Grow Pima	E1 Repurpose Pima Ops; Grow Echo	D1 Repurpose Echo Ops; Grow Pima	C1 Grow Both	B1 Continued Decline
Operating performance (Fund 001)								
5-yr Operating Net (no capital)	**$3,128,000**	**$1,819,000**	**$1,227,000**	**$1,048,000**	**$808,000**	**$159,000**	**($260,000)**	**($2,720,000)**
Net Op $ / Served (FY2030)	**$2,069**	**$1,060**	**$1,381**	**$744**	**$765**	**$471**	**$90**	**($1,237)**
Reference (assumed outside 001)								
Memo-5-yr Operating Net + (Lease Avoid + Pre-K / Community Prgms Net)	$3,128,000	$1,819,000	$1,871,000	$1,048,000	$808,000	$803,000	($260,000)	($2,720,000)
Capital								
FY26 Capital Investment (One-time)	($1,916,000)	($3,300,000)	($2,316,000)	($3,300,000)	($3,500,000)	($3,500,000)	($5,000,000)	$0
People								
FY26 Displaced (students)	553	296	553	257	296	257	0	0
FY30 Served (students)	459	573	459	539	573	539	653	510
Risk & Strategy								
Implementation complexity & delivery risk	Low-Medium	Medium	Medium	Medium	Medium	Medium	High	Low
Community disruption & reputational risk	High	Medium	Medium-High	Medium	Medium	Medium	Low-Medium	Medium
Strategic value & district resilience	Medium	High	Medium-High	High	High	High	High	Low

(Ref) Full weighted scoring by scenario

	A2 Repurpose Both Lease	E2 Repurpose Pima Lease; Grow Echo	A1 Repurpose Both Ops	D2 Repurpose Echo Lease; Grow Pima	E1 Repurpose Pima Ops; Grow Echo	D1 Repurpose Echo Ops; Grow Pima	C1 Grow Both	B1 Continued Decline
Operating performance (Fund 001)								
5-yr Operating Net (no capital)	35.0	27.2	23.6	22.6	21.1	17.2	14.7	0.0
Reference (outside 001 unless confirmed otherwise)								
Memo-5-yr Operating Net + (Lease Avoidance + Pre-K / Community Programs Net)	0.0	0.0	5.0	0.0	0.0	5.0	0.0	0.0
Capital								
FY26 Capital Investment (One-time)	6.2	3.4	5.4	3.4	3.0	3.0	0.0	10.0
People								
FY26 Displaced (students)	0.0	2.3	0.0	2.7	2.3	2.7	5.0	5.0
FY30 Served (students)	0.0	2.9	0.0	2.1	2.9	2.1	5.0	1.3
Risk & Strategy								
Implementation complexity & delivery risk	18.8	12.5	12.5	12.5	12.5	12.5	0.0	25.0
Community disruption & reputational risk	0.0	2.5	1.3	2.5	2.5	2.5	3.8	2.5
Strategic value & district resilience	5.0	10.0	7.5	10.0	10.0	10.0	10.0	0.0
Total weighted score	**65**	**61**	**55**	**56**	**54**	**55**	**38**	**44**

(Ref) The **model is sensitive to assumptions–fixed cost drawdown** can make operational repurpose look much less interesting.. or very competitive

Fixed cost drawdown

	A2	E2	**A1**	D2	**E1**	**D1**
	Repurpose Both Lease	Repurpose Pima Lease; Grow Echo	**Repurpose Both Ops**	Repurpose Echo Lease; Grow Pima	**Repurpose Pima Ops; Grow Echo**	**Repurpose Echo Ops; Grow Pima**

Base assumption

	f_ops
FY26	0.45
FY27	0.4
FY28	0.35
FY29	0.3
FY30	0.25

	A2	E2	A1	D2	E1	D1
5-yr op net $	**$3,128,000**	**$1,819,000**	**$1,227,000**	**$1,048,000**	**$808,000**	**$159,000**

Decelerated

	f_ops
FY26	0.65
FY27	0.55
FY28	0.45
FY29	0.35
FY30	0.25

	A2	E2	A1	D2	E1	D1
5-yr op net $	**$3,128,000**	**$1,819,000**	**$248,000**	**$1,048,000**	**$290,000**	**($301,000)**

Accelerated

	f_ops
FY26	0.25
FY27	0.2
FY28	0.15
FY29	0.1
FY30	0.1

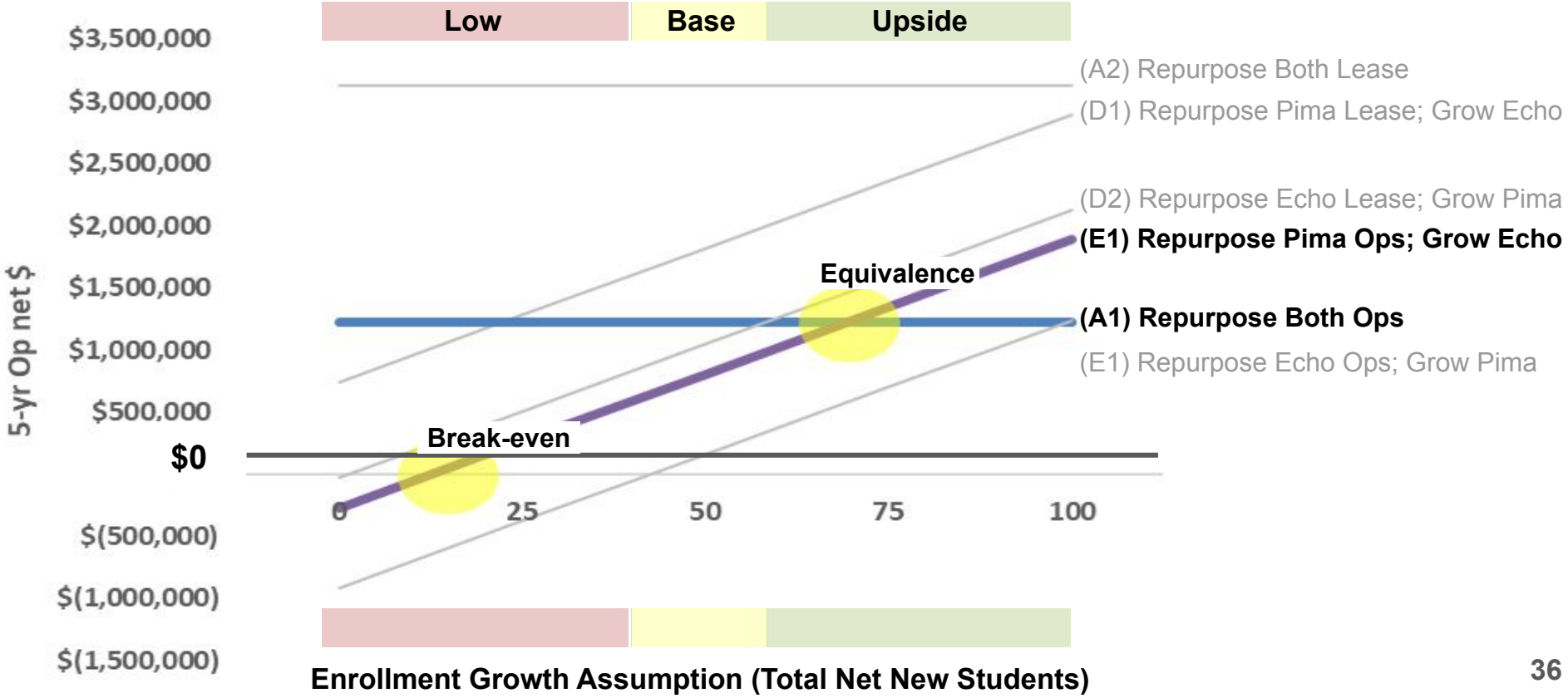
	A2	E2	A1	D2	E1	D1
5-yr op net $	**$3,128,000**	**$1,819,000**	**$3,128,000**	**$1,048,000**	**$1,819,000**	**$1,048,000**

(Ref) If Echo's **retention rate drops below 69%**, all Echo repurpose scenarios are negatively affected, and D1 (repurpose Echo operationally; grow Pima) **5-yr op net $ turns negative**

Echo retention			A2 Repurpose Both Lease	E2 Repurpose Pima Lease; Grow Echo	**A1 Repurpose Both Ops**	**D2 Repurpose Echo Lease; Grow Pima**	**E1 Repurpose Pima Ops; Grow Echo**	**D1 Repurpose Echo Ops; Grow Pima**
Base assumption	**Echo: 75%** **Pima: 90%**	**5-yr op net $**	$3,128,000	$1,819,000	**$1,227,000**	**$1,048,000**	**$808,000**	**$159,000**
Downside	**Echo: 69%** **Pima: 90%**	**5-yr op net $**	$2,968,000	$1,819,000	**$1,067,000**	**$889,000**	**$808,000**	**$0**

(Ref) E1 (repurpose Pima ops; grow Echo) **breaks even** on 5-yr net op $ with **~15 new students** (aggregate over 3 yrs), and it **surpasses A1** (repurpose both ops) with **~70 new students**

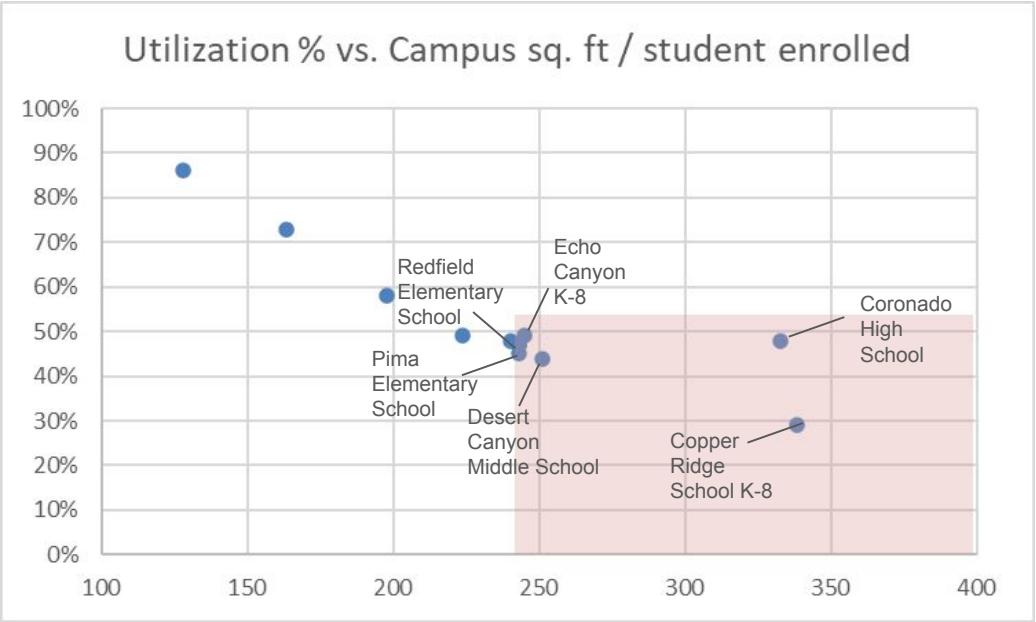
Impact of Enrollment Growth Assumption on 5-Year Operating Net $



A framework to think about prioritization via school enrollment and capacity data* (1 of 2)

Stage A — Utilization/feasibility screen

If we plot campus square footage / enrolled student against % utilization, we can scan from **bottom right (low utilization and excess space) to top left**.



*Presumably, a more practical / context-led approach is being used; this was done to better understand the situation

A framework to think about prioritization via school enrollment and capacity data (2 of 2)

Stage B — Savings potential screen (financial proxies)

We might then overlay savings proxies to double-check the visual from Stage A:

- Site-fixed intensity proxy
  Fund-001 by site; or we could use campus ft² ÷ enrollment, where higher intensity ≈ higher fixed burden.

- Capital backlog
  Any major capital planned / needed soon? A high-capital, low-utilization site might go up in priority.

Stage C — Consolidation feasibility

A and B are interesting if acting on it is feasible:

- Receiving band-level capacity near the school… plus… an estimate of retention risk to avoid a savings that erodes with student exits

Indexing stage A-C

Could then rank by a composite index according to the weights (w1, w2, etc.) the district thinks are reasonable, e.g.:

Score = w1*(1−utilization) + w2*(excess seats / 500) + w3*(fixed-intensity score) + w4*(capital flag)

Questions to consider (1 of 3)

Repurpose

1. **Realism**: Is the fixed-cost reduction schedule realistic, or are we overestimating savings?
2. **Receiving capacity**: Do receiving schools have the actual band-level capacity (e.g., 2nd grade seats) without requiring new portable costs?
3. **Retention risk**: Is our retention assumption for Echo defensible given ~50% of families live out-of-district?
4. **Root cause**: Does closing a school solve the structural deficit, or just delay it?

Warm hand-offs

1. Can we do a better job of **reducing attrition** by guiding families from over-prescribed to under-capacity sites?
2. Can we estimate how much that can contribute to schools that are at risk, and is that number meaningful enough to make a difference?

Questions to consider (2 of 3)

Growth or **hybrid**

1. **ROI:** Is the marginal cost to add a student actually lower than the revenue they bring? (i.e., Do we have empty seats?)
2. **Brand lift:** Can an Echo Innovation & Arts Hub generate enough enrollment pull and district-wide brand lift to justify the capital – and are we comfortable with the gates that would trigger a pivot back to repurpose if it doesn't?
3. **Execution:** Can we realistically launch a new magnet program in 12 months?
4. **Governance:** Will we commit to closing the school if growth targets are missed in Year 3?

Questions to consider (3 of 3)

In general

1. **Stability:** Will a 3-5 year plan reassure parents enough to stop families from leaving (or choosing elsewhere when moving)?
2. **Valley view:** With Kyrene and others closing schools, are we contributing to a "public school death spiral" narrative?
3. **Strategic pivot:** Is this our moment to shift from "Managing Decline" to "Competitive Growth"?

Global parameters (FY26 base unless noted)

- Per-served revenue ≈ **BLA $5,013 + Override 15% ($752) + Uplift $5,200 = $10,965/ADM**.
- Variable M&O per **non-new** student = **$8,403**; **m (per-new)** = **0.60×8,403 ≈ $5,042**;
- Retention overhead (routing/admin) **h = $1,000/retained student**; Growth overhead **g = 0.2×h = $200/new**.
- FY26 site-fixed start: **Echo $922,500; Pima $999,375**;
- **Fixed ops** (f_ops) ramp **0.45→0.40→0.35→0.30→0.25** (FY26→FY30);
- **Fixed lease** (f_lease) ramp **0.25→0.20→0.15→0.10→0.10**.

Assumptions by scenario–spotlight on the big drivers of operating net $

A1—Repurpose Both (Operationally)

- Retention: Echo 0.75, Pima 0.90 (applies to FY26 displacement and revenue base).
- Carry on fixed: f_ops ramp on both sites.
- Overheads: h applies in FY26; g not used (no growth overlay).
- Trend: status-quo enrollment (no added growth).
- Result driver: early-year net is dominated by fixed carry and retention; savings improve as f_ops tapers by FY30.

A2—Repurpose Both (Lease)

- As A1 but fixed carry uses f_lease ramp.
- Result driver: stronger fixed savings from year-1 if buildings wound down quickly; timing gated by lease/tenant improvement schedules.

B1—Status Quo (Decline)

- No repurpose, no growth overlay.
- Trend: district decline applied (your “Apply Trend” gate ON here).
- Overheads: none (no displaced students).
- Result driver: declining ADM reduces revenue faster than costs flex—baseline comparator.

C1—Grow Both

- Trend: growth of 50 / school (total 100) over 3 years
- m = $5,042, g = $200; no h.
- Result driver: each net-new student under capacity adds positive contribution (per-served revenue ≈ $10,965 vs m $5,042), but FY26 may remain negative if the district-wide base deficit is larger than first-year growth.

See previous slide for global parameter explanations

Assumptions by scenario–spotlight on the big drivers of operating net $

D1—Repurpose Echo (Ops); Grow Pima	D2—Repurpose Echo (Lease); Grow Pima	E1—Repurpose Pima (Ops); Grow Echo	E2—Repurpose Pima (Lease); Grow Echo
• Retention: Echo 0.75 • Pima growth (target 50 total new over 3 years). • Fixed: Echo uses f_ops; Pima fixed unchanged. • Overheads: h on Echo retained; g on Pima growth. • Result driver: lower Echo r depresses revenue while f_ops carry persists; Pima's growth helps but the hybrid is still sensitive to Echo retention.	• Same as D1 but Echo fixed uses f_lease. • Result driver: better than D1 if lease-exit is real and fast; growth at Pima offsets fewer displacements than A-series.	• Retention: Pima 0.90; • Echo growth ((target 50 total new over 3 years). • Fixed: Pima f_ops; Echo fixed unchanged. • Overheads: h on Pima retained; g on Echo growth. • Result driver: usually the stronger hybrid in your model—higher Pima retention means less revenue leakage, while Echo growth adds contribution.	• Same as E1 but Pima f_lease. • Result driver: strongest operating hybrid when lease-exit is credible; lowest displacement among repurpose-inclusive options.

See previous slide for global parameter explanations

Key parameters list* (1 of 2)

Assumption (plain English)	Current value	Where in file
Echo retention (share of students staying in SUSD if Echo repurposed)	0.75	Parameters_Public (label “Echo retention r”)
Pima retention	0.90	Parameters_Public
Base state aid per student (BLA), FY26	$5,013	Parameters_Public (label “Aid per ADM (FY2026 base)”)
Aid/BLA annual growth	2.5%	Parameters_Public (“Aid growth per year”)
Override rate	15% of BLA	Parameters_Public (“Override percent (%)”)
Other GF revenue per served student (“uplift”)	$5,200	Parameters_Public (“Other GF revenue per served ADM”)
Uplift indexing	Tracks Aid growth (toggle=1)	Parameters_Public
Variable M&O cost per *existing* student, FY26	$8,403	YearMap (VarUnit$, FY26 row)
Marginal factor for new students (as % of base variable)	0.60	Parameters_Public (“Marginal variable cost to add new ADM”)
→ Marginal cost per *new* student, FY26	≈ $5,042 (0.6 × 8,403)	Derived from the two rows above
Retention overhead per displaced (routing/admin)	$1,000 per student (FY26)	YearMap (h)

*Full list of parameters used (or full model) can be provided

Key parameters list* (2 of 2)

Assumption (plain English)	Current value	Where in file
Growth overhead per added student	20% of h = $200	Parameters_Public ("Growth overhead per added ADM (α×h) = 0.2" + YearMap h)
Echo site-fixed starting point	$922,500	YearMap (EchoFixed$, FY26)
Pima site-fixed starting point	$999,375	YearMap (PimaFixed$, FY26)
Repurpose carry, ops (f_ops)	0.45 → 0.40 → 0.35 → 0.30 → 0.25 (FY26→FY30)	YearMap
Repurpose carry, lease (f_lease)	0.25 → 0.2 → 0.15 → 0.10 → 0.10	YearMap
Admin lease avoidance – leased SF	10,000 SF	Lease_Avoidance
Admin lease avoidance – rent	$31/ft²/year	Lease_Avoidance
Admin lease avoidance – % vacated ramp	50% → 75% → 85% → 90% → 100%	Lease_Avoidance
Overlap months (double-pay)	6 months	Lease_Avoidance
Pre-K memo – gross revenue	$244,800 / year	Pre_K
Pre-K memo – program cost	$240,000 / year	Pre_K
Pre-K memo – net	$4,800 / year	Pre_K

*Full list of assumptions and parameters used (or full model) can be provided

Risk and upside metrics framework logic

- **Implementation complexity & delivery risk**
  Low: no closure; minor program build.
  Med: one closure **or** one new program strand.
  High: two closures or multi-strand program build + lease changes.

- **Community disruption & reputational risk**
  Low: minimal displacement; clear upside story.
  Med: moderate displacement; mixed narrative.
  High: large displacement; high controversy likelihood.

- **Strategic value & district resilience**
  Low: no new capability.
  Med: targeted growth lane or program that stabilizes enrollment.
  High: credible innovation hub that attracts families and exports practice district-wide.

Other context–precedents

- **Chicago (2013 closures)**: Studies report negative short-term academic effects and no long-term positive gains on average; some analyses note math effects persisting for students from closed schools, with better outcomes only when receiving schools were substantially higher-performing
- **Denver (2024–25)**: After a 2024 closure vote, the board paused further closures until 2030 amid community/legal pushback and governance churn
- **Kyrene (2025)**: District scheduled multiple public hearings on consolidation/boundaries and revised proposals after feedback
- **Innovation hub option (analogy):** Campbell School of Innovation (Campbell USD, CA) – a district-run innovation school with design-thinking and studio spaces that grew enrollment and exported practices across the district; Echo's proposed Innovation & Arts Hub is conceptually similar but layered on a Blue-Zones and arts-integration foundation

Sources and definitions (1 of 3)

Policy Anchors (paste into Parameters when available)			
Anchor	**Value / Status**	**Source (short)**	**Used for**
BLA (Base Level Amount) FY2025	5,013.33	AZ Senate Issue Brief / ADE update	YearMap → Aid$
M&O Override %	15% (RCL)	SUSD M&O Override page	Override per ADM; Revenue$
Override toggle	0/1 (board policy)	Model control	Revenue$ switch
District M&O per ADM (audited)	FY2024 value (e.g., 14,049)	SUSD ACFR FY2024, Operating Statistics	Sanity checks / narratives
Transportation Support Level (TSL)	Per route-mile schedule	AZ Senate Issue Brief / ADE	Revenue context
Transport cost per eligible rider	≈ 3,183 (FY2024 anchor)	City of Scottsdale Auditor report	h_0 (retention overhead) anchor
Echo/Pima 40th & 100th (FY2025)	To paste (AzEDS export SDADMS72/75)	ADE School Finance / District export	Base ADM by site
Site-fixed ledgers (Fund 001, by site)	To paste (Echo & Pima)	SUSD Finance site/cost-center ledgers	Replace fallback fixed
Core Definitions & Derivations			
Term	**Definition / Formula**	**Appears on**	**Depends on**
Operating Net ($)	M&O − (Aid + Override + Uplift); capital excluded.	Summary_Figures; Scenario_Comparison; Board_OnePager	YearMap revenues, MultiYear_ProForma costs
Δ vs Base (FY2030)	Comparator FY2030 Net − Base FY2030 Net.	Summary_Figures; Scenario_Comparison	Net$
Δ vs Base (Avg FY26–30)	Comparator 5-yr Avg Net − Base 5-yr Avg Net.	Summary_Figures; Scenario_Comparison	Net$ FY26..30
Displaced (FY26)	Displaced students in first action year.	Summary_Figures; Scenario_Comparison	Scenario mechanics
Served (FY2030)	Open + retained ADM in FY2030.	Summary_Figures; Scenario_Comparison	Served_ADM (MPF col AC)
Comparable net per served	FY2030 Net ÷ FY2030 Served_ADM.	Optional on Summary_Figures	Net$, Served_ADM
m^t (incremental margin per ADM)	Aid + Override_if_on + Uplift − VarUnit$ − g	Budget_Neutral_Calculator	YearMap; Override_toggle
N^0 (budget-neutral students)	max(0, $-Net_t$ / m^t)	Budget_Neutral_Calculator	m^t; Net_t
Uplift (base)	Other GF per served ADM; indexed with Aid growth.	YearMap (Uplift_per_ADM)	Aid_growth; Uplift_base_per_ADM
Uplift (incremental)	α × Uplift(base) applied to Overlay_ADM only.	YearMap; Revenue$	Incremental_uplift_alpha
Retention overhead (h)	Routing/admin overhead per retained student; tapers annually.	YearMap (h)	h_taper_profile
Growth overhead (g)	α × h applied to Overlay_ADM.	YearMap (Growth_overhead_per_ADM)	Growth_overhead_alpha; h_taper_profile
Fixed savings realization	Savings = (1−f)×SiteFixed$; f_ops, f_lease ramp FY26→FY30.	MPF (EchoFixedEff$, PimaFixedEff$)	f_ops_profile; f_lease_profile; Site_Fixed
Trend gates	Apply_Echo_Trend / Apply_Pima_Trend toggle Potential_ADM by site.	Scenarios; MPF	Scenarios columns R/S; Parameters_Public trends
ADM (Average Daily Membership)	Unweighted attendance measure used for funding: membership days through the first 100 instructional days (or 200 for year-round) divided by days in period; see A.R.S. 15-901(1).	Parameters; Baselines; Narrative	ADE statute/SDADMS calculations

Sources and definitions (2 of 3)

Core Definitions & Derivations			
Variable unit cost (VarUnit$)			
Marginal-cost factor for overlay seats	Factor (<1) scaling VarUnit$ on overlay ADM to reflect partial sectioning in slack capacity years.	MultiYear_Pro_Forma	Parameters_Public MarginalFactor_for_Overlay
Retention rate r	Share of displaced students who stay in SUSD and are re-routed to receiving sites; they remain in Served_ADM and incur h.	Scenarios; MultiYear_Pro_Forma	Parameters_Public r values
Co-location extra savings	Additional operating savings (beyond standard f_ops) modeled when consolidating two programs on one site.	Scenarios; MultiYear_Pro_Forma	Control_Center setting; scenario flags
Keep-open ops savings	Minor efficiency factor applied to scenarios that keep a site open (e.g., utilities, scheduling refinements).	Scenarios; MultiYear_Pro_Forma	Control_Center setting
Repurpose-related pathway parameters			
Gate / Mechanism	**How enforced in model**	**What to watch**	**Where implemented**
Receiving capacity gate	Band-level spare seats + portables; flag if exceeded.	No site over capacity.	Receiving_Capacity; Scenario_Comparison
Quality gate (optional)			
Retention gate	Retention r applied to displaced cohorts.	Measure r achieved.	Parameters_Public; MPF
Budget neutrality	N^0 calculator for FY26/FY30.	$N^0 = 0$ means Net≥0.	Budget_Neutral_Calculator
Fixed savings realization	f_ops/f_lease ramp applied to site-fixed.	Use audited site-fixed; avoid over-crediting.	YearMap; MPF
Audit paste checklist (to finalize model)			
Data item	**Status**	**Source**	**Paste location**
Echo—site-fixed (Fund 001 by function)	Pending	SUSD Finance site ledger	Site_Fixed
Pima—site-fixed (Fund 001 by function)	Pending	SUSD Finance site ledger	Site_Fixed
Echo/Pima 40th/100th (FY2025)	Pending	AzEDS SDADMS72/75 export	Parameters_Public
Transport cost unit anchors	Drafted	City of Scottsdale audit	Control_Center (h_0; α)

Sources and definitions (3 of 3)

Charters: *National Alliance for Public Charter Schools (2024)* or *Arizona Department of Education Enrollment Data.*

Homeschooling: *National Center for Education Statistics (NCES)* or *Washington Post "Home Schooling" Data Reporting (2023).*

AI Trends: *OpenAI Official Blog (May 2024)* for ChatGPT Edu; *CRPE (Center on Reinventing Public Education)* for reports on AI adoption in districts; Chalkbeat Newark (May 2024); The 74 (Various reports on AI tutoring)

Echo Canyon residency: During the April 29, 2025, SUSD Governing Board study session on enrollment, the district presented data showing that **Arcadia High School** (which Echo Canyon feeds into and shares a geographic "neighborhood" with) has a student body that is **46% out-of-district** (non-SUSD residents). **Context:** Echo Canyon (formerly the Arcadia Neighborhood Learning Center) serves the same border area where the SUSD/Phoenix line blurs. Since Echo Canyon does not have a "resident" population to dilute this number (unlike Arcadia High, which still has ~47% residents), its non-district population is believed to be at or above that high school benchmark.

(Ref) List of phase 1 pilot image elements

Illustrative

Current state: underused classroom (given excess capacity)	**Phase 1 pilot:** premium flexible innovation & arts hub (movable assets)

AI-generated

Furniture:

- Modular soft seating in blue and green sections.
- Adjustable-height white tables with casters.
- Height-adjustable stools with green seats.
- A small, round white table.
- A mobile whiteboard on an easel.

Technology & Equipment:

- A large interactive touch screen monitor on a mobile stand.
- A 3D printer with filament spools.
- A laser cutter/engraver.
- A vinyl cutter.
- A large format printer/plotter.
- A sewing machine.
- Tablets and stylus pens.
- A laptop.

Storage & Organization:

- A white shelving unit with grey storage bins.
- A mobile storage cart.

Arts & Decor:

- A gallery wall with various framed student artwork and photos.
- A large freestanding green wall (vertical garden).
- Sketchpads and notebooks with drawings.
- A potted plant.

Notes

- FY26 displaced students and FY30 served students are displayed next to dollars
- Receiving plan assumed to keep schools **within band-level capacity** and uphold program-quality thresholds
- Echo/Pima **site-fixed ledgers (Fund 001)**, **admin lease inventory and exit terms**, and **accounting treatment** for Pre-K/community-use (which Fund) should be confirmed
- All assumptions and inputs were sourced, from district data where possible, and / or reasonable precedents were used where possible

Echo & Pima scenario review

End of presentation